



Summary of Indicative Terms

For Discussion Purposes Only | February 2026

This term sheet is non-binding and is intended solely for discussion purposes. It does not constitute a commitment to invest or a legal obligation by any party. Final terms will be subject to due diligence, definitive legal agreements, and mutual approval.

COMPANY OVERVIEW

Company	KOSIQ, Inc. — Florida C-Corporation.
Description	AI-powered Medical Economics Intelligence platform for managed care practices. Ingests payer claims data, delivers predictive analytics, AI-driven recommendations, and clinical alert programs for Medicare Advantage, Medicaid, and Commercial populations.
Founders	David Suarez (CTO) and Dr. J.D. Suarez (CMO) — Equal partners, 50/50 prior to financing. CEO position to be determined by the board.
Website	kosiq.ai

CORPORATE STRUCTURE

Entity Type	C-Corporation (Florida)
Why C-Corp	Allows multiple stock classes (common + preferred), unlimited shareholders, clean equity grants and option pools. Required for institutional investment.
Why Florida	No personal state income tax on founder salaries, dividends, or capital gains. 5.5% corporate tax only on net income above \$50K. No franchise tax. Single-state filing.
Stock Classes	Common Stock (founders, employees, growth officer) and Series Seed Preferred Stock (investors). Preferred converts to common at exit.
Authorized Shares	10,000,000 shares Common Stock; 2,000,000 shares Preferred Stock.

LEADERSHIP

CTO	David Suarez — Co-Founder. Responsible for product, technology, and engineering.
CMO	Dr. J.D. Suarez — Co-Founder. Responsible for clinical strategy, payer relations, and medical advisory.
CEO	To be appointed by the board. May be filled by a founder, the growth officer, or an external hire as the company scales.
Growth Officer	VP of Growth / Chief Growth Officer — Responsible for sales, partnerships, and market expansion.

INVESTMENT TERMS

Round	Seed Round
Amount Raised	\$2,000,000 - \$5,000,000
Pre-Money Valuation	\$15,000,000 - \$20,000,000
Security Type	Series Seed Preferred Stock
Minimum Investment	\$500,000

CAPITALIZATION (POST-CLOSING)

Based on \$3M investment at \$20M pre-money valuation (\$23M post-money):

STAKEHOLDER	ROLE	EQUITY	NOTES
David Suarez	CTO / Co-Founder	33.0%	Common stock, fully vested, no restrictions
Dr. J.D. Suarez	CMO / Co-Founder	33.0%	Common stock, fully vested, no restrictions
Lead Investor	Capital Partner	13.0%	Series Seed Preferred, \$3M investment
Growth Officer	VP Growth / CGO	10.0%	Common stock, fully vested, no restrictions
Option Pool	Future Hires	11.0%	Engineering, sales, advisor grants
Total		100%	

Founder Majority Control: David + Dr. J.D. combined hold 66%. All equity fully vested from day one for all parties. No restrictions.

FOUNDER COMPENSATION

David Suarez (CTO)	\$150,000/year base salary. Full-time. Subject to annual board review with increases tied to company milestones.
Dr. J.D. Suarez (CMO)	Equity only at inception. No salary. Compensation revisited if/when Dr. Suarez transitions to full-time.
Growth Officer	Competitive base salary (to be negotiated) + 10% equity.
Salary Adjustments	CTO salary increases to \$180,000 upon reaching \$1M ARR. Further adjustments at board discretion.
Benefits	Health, dental, vision for all full-time employees once company reaches 10+ employees or \$1M ARR.

BOARD OF DIRECTORS

Board Size	5 seats
Seat 1 — Founder	David Suarez (CTO)
Seat 2 — Founder	Dr. J.D. Suarez (CMO)
Seat 3 — Investor	Lead Investor or designated representative

Seat 4 — Growth	Growth Officer
Seat 5 — Independent	Mutually agreed upon by all parties.
Quorum	3 of 5 directors required.
Voting	Simple majority for standard business. Supermajority (4 of 5) for: sale of company, new equity issuance, CEO appointment/removal, CTO/CMO removal.

INVESTOR RIGHTS & PREFERENCES

Liquidation Preference	1x non-participating preferred. Greater of (a) investment amount or (b) pro-rata share upon exit.
Anti-Dilution	Broad-based weighted average.
Protective Provisions	Investor consent for: charter changes, new shares above option pool, sale/merger, debt above \$250K, annual budget.
Information Rights	Quarterly financials, annual audited financials, monthly KPI dashboard.
Pro-Rata Rights	Right to participate in future rounds to maintain ownership.
ROFR / Co-Sale	Right of first refusal and co-sale on founder transfers.

GROWTH OFFICER TERMS

Title	VP of Growth / Chief Growth Officer
Equity	10.0% of fully diluted shares. Common stock, fully vested at grant. No restrictions.
Compensation	Competitive base salary + equity. No cash bonus until company profitability.
Termination	Shares retained upon departure. Subject to buyback at fair market value if terminated for cause.
Non-Compete	12-month non-compete in healthcare analytics/SaaS.

USE OF FUNDS

Engineering (50%)	Hire 2-3 engineers, HIPAA hardening, enterprise features, SOC 2 prep, AI optimization.
Sales & Marketing (30%)	2 sales reps, HIMSS/AHIP conferences, content marketing, demand generation.
Operations (20%)	AWS infrastructure, SOC 2 audit (\$50-75K), legal/compliance, D&O insurance.

18-MONTH MILESTONES

Customers	25 paying managed care practices
Revenue	\$1.5M ARR run rate
Compliance	SOC 2 Type II, HIPAA validated

Product	EHR integrations, real-time data feeds, mobile app
Team	10-12 full-time employees
Next Round	\$10-15M Series A at \$75-100M valuation

ADDITIONAL TERMS

Equity	All shares — founders, investor, and growth officer — fully vested at issuance. No vesting schedules for any party.
IP Assignment	All IP assigned to KOSIQ, Inc. upon incorporation.
Exclusivity	30-day exclusivity from signed term sheet.
Closing Conditions	Due diligence, definitive agreements, FL C-Corp formation, IP assignment, key person insurance.
Governing Law	State of Florida
Legal Counsel	Each party engages independent counsel. Company fees capped at \$25K.
Expiration	30 days from issuance unless mutually extended.

ACKNOWLEDGMENT

By signing below, the parties acknowledge receipt and understanding of these indicative terms. This document is non-binding except for exclusivity, confidentiality, and governing law provisions.

David Suarez

CTO & Co-Founder, KOSIQ

Date: _____

Dr. J.D. Suarez

CMO & Co-Founder, KOSIQ

Date: _____

Lead Investor

Date: _____

Growth Officer

Date: _____